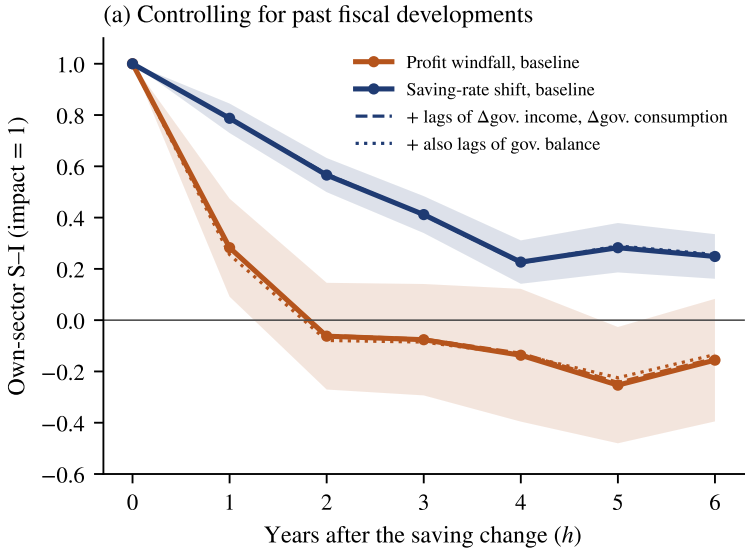
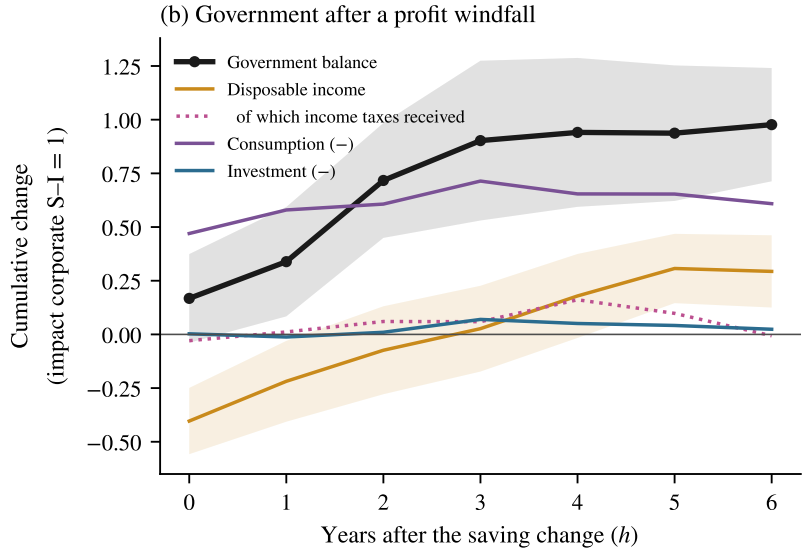
The government sector





Notes: N = 865, 38 economies with government accounts. (a) Baseline local projections, adding two lags of the changes in government disposable income and final consumption (dashed) and two lags of the government balance (dotted); government items at t are excluded because they can respond to the windfall within the year. (b) Cumulative change in government items after a profit windfall, from the corporate equation; outlays with a negative sign. Shaded: 68 percent bands, country-cluster delta method.